



HOW BIG TECH PLANS TO CREATE NEW NATIONS



Scan to review worksheet

Expemo code:

1FZC-K1L3-D5E



1

Warm up

Complete the quiz about cryptocurrency below. Is any of the information surprising?

- What is the name of the process used to create new Bitcoins?
 - mining
 - staking
 - trading
 - building
- Which country became the first to adopt cryptocurrency as legal currency in 2021?
 - Spain
 - China
 - El Salvador
 - Switzerland
- What technology is the basis of cryptocurrencies?
 - Bitcoin
 - blockchain
 - cloud software
 - quantum computing
- Where did the term "banana republic" originate?
 - Finland
 - Guatemala
 - Honduras
 - Mongolia
- What does a "crypto-bubble" refer to?
 - a new method of making transactions
 - a period of excessive investment in cryptocurrencies
 - a way of creating digital currencies
 - a type of digital wallet
- Who created Bitcoin, the first cryptocurrency?
 - Vitalik Buterin
 - Jeff Bezos
 - Satoshi Nakamoto
 - Elon Musk



2

Focus on vocabulary

Match the words and phrases underlined with the correct definitions.

Group 1:

1. The startup is making inroads into the competitive tech market.
 2. The team is mooting several ideas for the upcoming project.
 3. His plan to travel to Mars seemed far-fetched to most people.
 4. The contract was challenged in court due to claims of undue influence over the decision-making process.
 5. A more pliant leader would have agreed to their terms.
 6. Quality and innovation are hallmarks of the brand's success.
 7. The news of the unexpected layoffs was quite disconcerting for the employees.
-
- a. gradually gaining influence or progress in a particular area
 - b. easily influenced or flexible
 - c. excessive pressure exerted by one party over another
 - d. discussing or suggesting an idea or plan, often in a theoretical context
 - e. distinctive features or characteristics
 - f. unlikely or improbable; difficult to believe
 - g. causing discomfort or confusion; unsettling



**Group 2:**

1. The sudden **disruption** in service left many customers frustrated.
 2. The charity was supported by a few donors who **had pretty deep pockets**.
 3. She felt **beholden** to her mentor for all the guidance she had received.
 4. The new **frameworks** for governance will streamline decision-making processes.
 5. The new CEO is **shaking up** the company's outdated practices.
 6. She **envisions** a future where technology enhances everyday life.
-
- a. imagines or visualises something as a possibility or future reality
 - b. causing a major change or upheaval in a situation or system
 - c. obligated or indebted to someone, often in terms of loyalty or gratitude
 - d. having significant financial resources or wealth
 - e. interruption or disturbance in the usual way something functions, often leading to significant change
 - f. structured systems or sets of guidelines that provide support or organisation for a particular process

3**Listening for gist**

You will hear part of a podcast which explains the concept of network states. Listen to the audio and decide which of the following sentences most accurately represents the idea.

1. ☐ Network states are large businesses that have successfully used technology to create traditional methods of government.
2. ☐ Network states are groups of individuals who collaborate in order to create virtual existences, ignoring the real, physical world.
3. ☐ Network states are decentralised entities that hope to create self-governing communities.





4

Listening comprehension

Listen to the clip again and decide if the statements are True or False.

1. People working in tech enjoy bringing fresh approaches to traditional sectors, without making major changes. _____
2. Balaji Srinivasan is admired in the cryptocurrency world. _____
3. Network states would begin by working with amenable governments. _____
4. Charter cities are a means of sharing wealth through high taxes. _____
5. Próspera allows activities that are not possible elsewhere. _____
6. Some investors believe that regulation should be removed. _____

5

Banana republics

Read the short text about banana republics and decide which answer (A, B, C, or D) best fits each gap.

The term "banana republic" has its origins in US _____¹ in Central American nations like Guatemala, where businesses, particularly the United Fruit Company, had a _____² impact on local politics and economics during the late 19th and early 20th centuries. United Fruit dominated the banana trade, gaining control over large _____³ of land, infrastructure such as railroads, and key ports, which gave it enormous influence over Guatemala's economy. The Guatemalan government, incentivised by the company, _____⁴ them tax breaks and significant land concessions, leading to the removal of many local farmers and the suppression of domestic industries.

In 1954, these tensions led to a US-supported coup, _____⁵ by heavy lobbying from United Fruit. This led to the overthrow of Guatemala's recently-elected president, Jacobo Arbenz, whose land reform policies, aimed at redistributing unused company land to poor farmers, threatened United Fruit's control. His removal _____⁶ Guatemala into decades of political instability and civil unrest.

Sources: hbr.org, thenation.com

- | | | | |
|--------------------|-----------------|-----------------|----------------|
| 1. a. interruption | b. intervention | c. interception | d. indecision |
| 2. a. thoughtful | b. late | c. profound | d. charismatic |
| 3. a. buildings | b. qualities | c. sections | d. rations |
| 4. a. assumed | b. refused | c. granted | d. found |
| 5. a. deemed | b. forgotten | c. fuelled | d. made |
| 6. a. saved | b. rescued | c. forced | d. closed |



6

Focus on vocabulary

You are going to read about a company that plans to found its own city. Add the following words to the gaps in the definitions.

Group 1:

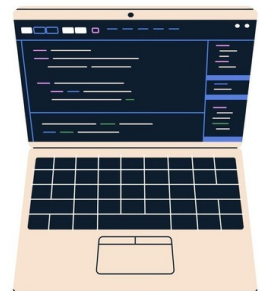
area essential evidence foundation govern reputation stealing

1. **speculative (adj.)** - involving conjecture or risk without firm _____
2. **underpinning (v)** - providing a _____ or basis that supports an idea or system
3. **looting (n)** - the act of _____ goods
4. **prestigious (adj.)** - having a high _____ or status
5. **realm (n)** - a domain or _____ of activity or interest
6. **sovereignty (n)** - the authority of a state to _____ itself
7. **nitty-gritty (n)** - the most _____ and fundamental aspects

Group 2:

facilities favour minimal negatively presented representations

1. **libertarians (n)** - individuals who advocate for civil liberties and _____ government intervention
2. **cast a shadow over (phrase)** - _____ affect or influence
3. **woo (v)** - seek the _____ or support of someone
4. **renderings (n)** - artistic _____ or depictions
5. **amenities (n)** - desirable features or _____ that provide comfort
6. **pitched (v)** - _____ an idea or proposal





7

Reading comprehension

Read the article titled "Is Praxis a vision of utopia or a right-wing fantasy?". Answer the multiple-choice questions.

1. What supports the idea that Praxis is a by-product of the crypto-bubble?
 - a. Brown's ideas about how the city might look
 - b. the history of its main investor
 - c. the size of its membership waiting list
 - d. how quickly the project gained funding
2. What was the catalyst for Brown's vision?
 - a. charter cities
 - b. far-right thinking
 - c. leaving university
 - d. social unrest
3. How has Brown's organisation prioritised its approach to city development?
 - a. practical construction methods
 - b. visual aesthetics
 - c. community participation
 - d. political structures
4. What does Brown's support of effective acceleration reveal?
 - a. belief in traditional governments
 - b. a respect for far-right conspiracies
 - c. an unusual categorisation of its members
 - d. a reckless approach to technological advancement
5. How has Brown recently attempted to attract investors?
 - a. outrageous promises
 - b. guaranteeing financial benefits
 - c. partnerships with Canadian corporations
 - d. exclusive membership deals
6. What reason is suggested for Peter Thiel being reluctant to support Praxis?
 - a. Its goals are unattainable.
 - b. Its founder lacks experience.
 - c. It has a worrying philosophy.
 - d. It has no start date.



Is Praxis a vision of utopia or a right-wing fantasy?

Understanding the implications of creating a paradise from scratch

1. Praxis is a company with an ambitious goal: to establish a new, unregulated city. Its founder, Dryden Brown, may lack experience in urban development, but he has already managed to raise \$19.2 million to support his plans. His claims are bold: a team featuring former Prime Ministers and a membership waiting list of nearly 50,000. To some, Brown's idea is just a by-product of the crypto-bubble, where speculative ideals often overshadow practical considerations. In fact, its largest backer, crypto-investment firm Paradigm, has strong links with the disgraced FTX founder, Sam Bankman-Fried.
2. Praxis aims to be a "crypto-state," but its plans raise questions, especially given the worrying values underpinning its vision. An internal guide highlights troubling ideas about beauty and societal values, reflecting a disturbing similarity to some far-right ideologies. Brown became motivated to build a city after witnessing looting in New York during the protests following George Floyd's murder. A self-described neurotic with an interest in libertarian literature, Brown fantasised about charter cities - special economic zones with autonomy over governance. After being rejected by prestigious universities, he dropped out of NYU and was eventually fired from a hedge fund job, yet he retained his ambition to construct a new city.
3. Tech-world libertarians have long pushed for "exit projects" free from the constraints of the modern Western state. These hypothetical spaces are mostly the realm of academics debating theories of sovereignty. Brown's company seems to have focused less on the nitty-gritty of building a city and more on its "traditional" "European" aesthetics, and on introducing "Praxis values" such as "vitality," "beauty," and "patriotism" to its members. The most prominent figure in this world is Peter Thiel, who declared in 2009 that "the great task for libertarians is to find an escape from politics in all its forms." Since then, the billionaire Republican mega-donor has backed several attempts to create corporate city-states, and he casts a long shadow over the culture surrounding these initiatives.
4. Following the Paradigm investment, Praxis moved into a luxurious New York office and began hiring, often trying to woo talent by throwing extravagant parties. Reports about Brown's political leanings surfaced, revealing an interest in ideologies associated with far-right figures. Internal documents indicated a troubling categorisation of community members into groups like "warriors," "priests," and "merchants," reflecting a hierarchical view of society. He also embraced the idea of "effective accelerationism," advocating for rapid technological development despite the potential harm to society, and claimed to be consulting with various governments about building "acceleration zones."
5. In his latest updates, Brown posted renderings of an idyllic city and promised futuristic amenities like airships. Meanwhile, he continues to fund-raise. A deal memo distributed to potential investors in October refers to "rumoured partnerships with top tech giants" and claims "the team are now finalising their first partnership with a host government," with a move-in date of 2026. According to the memo, Praxis' government relations team includes Stephen Harper, the former Prime Minister of Canada.
6. But Mr Brown has found a chilly reception in at least one important corner of the investment world: According to someone familiar with Mr Thiel's investments, Brown has pitched multiple representatives of Mr Thiel's over the past year, all of whom turned him down. The source said that Mr Thiel didn't think Praxis was capable of achieving its ambitious goals.

Sources: BBC, New York Times



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Talking point

Discuss the following questions.

1. What lessons can be learned from what happened in Guatemala? Do you think businesses today have too much political influence?
2. How do you think the way in which people view cryptocurrency and network states will change?
3. Why do big technology companies want to reduce regulation?

9

Optional extension / homework

Write an essay agreeing or disagreeing with one of these statements. You should write at least 250 words and check your grammar, spelling, and punctuation.

- The creation of network states provides a challenge to traditional structures of government, which has been needed for some time.
- Investment in ideas linked to cryptocurrency can lead to innovative solutions, but they are often impractical.
- In the quest for innovation, the wellbeing of others is often sacrificed.